



BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE, Pilani
Pilani Campus

First Semester 2026-2027

Course Handout (Part II)

Date:03/08/2026

In addition to part I (General Handout for all courses appended to the time table) this portion gives further specific details regarding the course.

Course Number : SCM G515
Course Title : Management Accounting
Instructor In-charge : PAVAN KUMAR PENUMAKALA (Hyderabad Campus)
: SRIKANTA ROUTROY (Pilani Campus)
Akhilesh Kumar(RS)

Course Description: Success in any organization—from the smallest corner store to the largest multinational corporation—requires the use of cost accounting concepts and practices. Cost accounting provides key data to managers for planning and controlling, as well as costing products, services, even customers. Cost accounting is one of very important managerial tool for business strategy and implementation.

1. Scope & Objectives of the Course:

This course focuses on how cost accounting helps managers make better decisions, as cost accountants are increasingly becoming integral members of their company's decision-making teams.

The objectives of the course are mentioned below:

- i. This course will equip students with the knowledge and analytical skills required to apply management accounting tools and techniques for planning, decision making, cost control, and performance evaluation in organizations.

2. Text Books:

T1: Cost Accounting- A Managerial Emphasis by Horngren, Srikant Datar 16e Pearson
T2: Managerial ACCT: A South-Asian Perspective Author(s): Roby B. Sawyers | Steve Jackson | Greg Jenkins | Ravinder Kumar Arora

3. References:

R1: Managerial Accounting by Ray H. Garrison, Eric W. Noreen and Peter C. Brewer.

4. Course Plan:

Lect. No.	Topic to be Covered	Learning Objectives	Chapter in the Text Book
1-3	Management Accounting	Introduction/Overview and major concepts – Distinguish financial accounting from management accounting. Value chain analysis- identify the dimensions of performance that customers are expecting of companies. The five-step decision making process and its role in management accounting. How management accounting fits into an organization's structure?	Chapter 1 of T1, Chapter 1 of T2

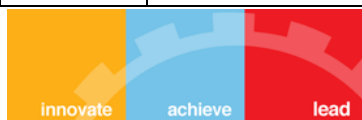


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4-6	Analysis of financial statements	Role of accounting and financial statements in supply chain, Balance sheet, Profit and Loss Account statement, analysis ratios	Chapter 2,3 of T2
7-8	An Introduction to Cost Terms and Purposes	What is cost? Learn the differences between direct costs and indirect costs. Understand variable costs and fixed costs. How to interpret unit costs? What is inventoriable costs and how is it different from period costs – with examples. Product costs– the different ways of computation and reasons for it. Understand the framework for cost accounting and cost management.	Chapter 2 of T1, Chapter 1 of T2
9-10	Cost–Volume–Profit Analysis	Understand the features of cost– volume–profit (CVP) analysis. Use of CVP analysis for decision making. Using sensitivity analysis for managing uncertainty. How CVP analysis is used in different type of industries.	Chapter 3 of T1, Chapter 6 of T2
11-12	Job Costing	Concepts of costing systems. Job costing and process costing. Evaluating and implementing job-costing systems. Actual costing and normal costing. Tracking cost. Overhead cost allocation.	Chapter 4 of T1, Chapter 3 of T2
13-15	Activity-Based Costing and Activity-Based Management	Understand what is a simple and activity-based costing system and its differences. What is a four-part cost hierarchy. How to cost products or services using activity-based costing. What are the pros and cons of implementing activity-based costing systems. How activity-based costing systems are used in activity-based management.	Chapter 5 of T1, Chapter 4 of T2
16-17	Master Budget and Responsibility Accounting	What is Master Budget, advantages. Operating budgets. Responsibility centers and responsibility accounting. Challenges in companies.	Chapter 6 of T1, Chapter 9 of T2
18-19	Flexible Budgets, Direct-Cost Variances, and Management Control	Understand static budgets and variances. Concept of a flexible budget and the variances. Using standard costs for variances. and learn how to develop it. Role of benchmarking in cost management.	Chapter 7 of T1, Chapter 10 of T2
20-21	Flexible Budgets, Overhead Cost Variances, and Management Control	Understand planning variable and fixed overhead costs. Budgeted variable and fixed overhead cost rates. Compute variances for variable and fixed overhead flexible budgets. Understand the 4-variance analysis and sales-volume variance and the production-volume variances.	Chapter 8 of T1, Chapter 10 of T2
22-23	Inventory Costing and Capacity Analysis	Variable costing and absorption costing –Understand the implications. Differentiate throughput costing from variable costing and absorption costing. Various capacity concepts in absorption costing. Understand the other issues that play an important role in capacity planning and control.	Chapter 9 of T1
24-26	Determining How Costs Behave	Understand the linear cost functions the importance of causality in estimating cost functions. Understand various methods of cost estimation. What are the steps in estimating a cost function using quantitative	Chapter 10 of T1, Chapter 5 of T2



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		analysis. Understand data problems encountered in estimating cost functions.	
27-28	Decision Making and Relevant Information	Understand the five-step decision-making process. Understand the concept of opportunity cost and why managers should consider it. Understand capacity constraints and how to manage bottlenecks. Basis for managers while making equipment-replacement decisions. Understand conflicts between the decision model a manager uses and the performance-evaluation model used for them.	Chapter 11 of T1
29	Pricing Decisions and Cost Management	Understand how companies make long-run pricing decisions. Pricing products using the target-costing and cost-plus approaches. Using life-cycle budgeting and costing when making pricing Decisions. Understand the effects of antitrust laws on pricing.	Chapter 12 of T1
30-31	Cost Allocation, Customer-Profitability Analysis, and Sales-Variance Analysis	Understand why a company's revenues and costs. What is a customer-profitability profile? Understand the cost-hierarchy based operating income statement and criteria to guide cost-allocation decisions.	Chapter 14 of T1
32-33	Allocation of Support-Department Costs, Common Costs, and Revenues	What is single-rate and from the dual-rate method. Understand how incentives affect between the choices of allocation based on budgeted and actual rates and budgeted and actual usage. Using the direct, the step-down and the reciprocal methods to allocate support department costs. Methods to allocate common costs. Understand how to allocate revenue and its pitfalls.	Chapter 15 of T1
34-35	Process Costing	Understand the basic concepts of process costing and learn how to compute average unit costs. Understand the five steps in process costing. Learn the use of the weighted-average method and first-in, first-out (FIFO) method of process costing. Understand the need for hybrid-costing systems such as operation costing.	Chapter 17 of T1, Chapter 3 of T2
36-37	Spoilage, Rework, and Scrap	Understand spoilage, rework, and scrap and the differences. Learn how to account for spoilage in process costing using different methods and at various stages of completion in process costing. Also, learn to account for spoilage, rework and scrap in job costing.	Chapter 18 of T1
38-39	Inventory Management, Just-in-Time, and Simplified Costing Methods	Learn to identify categories of costs associated with goods for sale. Learn how to balance the ordering costs with carrying costs using the EOQ decision model. Understand EOQ related errors that may arise. Understand JIT purchasing and how is it different from MRP. Understand the features and benefits of a JIT system and the principles of lean accounting.	Chapter 20 of T1, Chapter 2 of T2



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40-41	Capital Budgeting and Cost Analysis	Understand the five stages of capital budgeting for a project. Understand the use and evaluation of the discounted cash flow (DCF), the net present value (NPV), the internal rate-of-return (IRR), the payback, discounted payback and the accrual accounting rate-of-return (AARR) methods. Understand how capital budgeting is used.	Chapter 21 of T1, Chapter 8 of T2
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5. Evaluation Component

S. No.	Evaluation Component	Duration	Max. Marks	Date & Time	Nature
1	Mid-Semester Examination	90 min	25 %	8/10 2:00-3:30 PM	Closed book
2	Article Presentations		15 %	Continuous	Open book
3	Case Study		15 %	Continuous	Open book
4	Class surprise quizzes (n-2) and practical evaluation	10 min	10 %	In class hour	Open book
5	Comprehensive Examination	180 min	35 %	10/12 FN	Closed book

Case Study/Article Presentations

Each student/batch of students is assigned a task of analyzing certain company's financial statements and understand how different pricing methods effects supply chain and the profit/loss. This will be monitored through project plan proposal, mid-semester and end semester presentations

6. Grading Policy /Passing Criteria:

1. A student should obtain 30% of the average of the top few performers in the class, or 40% of the median marks of the class, whichever is lower to clear the course. If any student gets the marks lower than the prescribed standard mentioned above, he/she may be awarded NC.

7. Chamber Consultation: Chamber: E-217: Every Thursday 4 PM to 5 PM.

8. Notices: All notices concerning this course will be displayed on the CMS only.

8. Make-Up Policy: Make-up will be granted **ONLY** in genuine cases with **prior permission**. The request application for make-up test must be reached to the Instructor-in-charge before commencement of the scheduled test (documentary proof is essential).



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9. Academic Honesty and Integrity Policy: *Academic honesty and integrity are to be maintained by all the students throughout the semester and no type of academic dishonesty is acceptable.*

Instructor -in – Charge
SCM G515



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